

LOAN AGREEMENT

1. Parties

Lender: Debtify Lending Corp

Borrower: Michael Clark

Email: michael.clark44@example.com

Contact:

Address: 8738 Cedar Ln, Cebu

2. Loan Details

Principal Amount	₱ 126614.28
Annual Interest Rate	10.71%
Penalty Rate (per annum)	2%
Due Date	8/28/2026
Purpose	Business Expansion

3. Interest Accrual (Monthly Anniversary)

Interest shall accrue on the outstanding principal balance **every month on the same day as the loan start date** (the "Anniversary Day").

- Example:** If the loan start date is 5/26/2026, interest will be added on the 26 of each subsequent month.
- If the Anniversary Day does not exist in a given month (e.g., 31st in February), interest will be added on the **last day** of that month.
- Interest is calculated using the simple interest formula: $\text{Interest} = \text{Outstanding Principal} \times (\text{Annual Rate} / 12)$ per full month.
- No interest is charged during the first month after disbursement (grace period). First accrual occurs on the first Anniversary Day following the start date.

4. Repayment Terms

The Borrower agrees to repay the total outstanding balance (principal plus accrued interest) **on or before the Due Date** stated above. Partial payments are allowed at any time and will be applied first to any accrued interest, then to the principal.

5. Penalties for Late Payment

If the Borrower fails to pay the full outstanding balance by the Due Date, a **penalty** equal to 2% per annum of the overdue amount will be added daily from the day after the Due Date until full payment is received.

6. Prepayment

The Borrower may prepay part or all of the outstanding balance at any time without penalty. Prepayments reduce the principal and future interest accruals.

7. Default

The loan will be considered in default if any payment is overdue by more than 30 days, or the Borrower becomes bankrupt or provides false information. Upon default, the entire outstanding balance becomes immediately due.

8. Governing Law

This Agreement shall be governed by the laws of the Republic of the Philippines.

Lender:
Signature: _____
Name: Debtify Lending Corp
Date: 5/26/2026

Borrower:
Signature: _____
Name: Michael Clark
Date: 5/26/2026

This agreement is generated electronically and is legally binding upon signing by both parties.